SANDEN COLD CHAIN SYSTEM PHILIPPNES INC.

SANDEN

EMPLOYEE HANDBOOK

2025 Edition

Control No._____

Welcome to SANDEN Cold Chain System Philippines Inc. (SCP)

A pleasant 1st day in SANDEN. We are excited to have you as part of our growing team. We believe that you can contribute to the success of our business, and share our commitment in achieving our corporate goals.
Sanden is committed to:

1. Satisfy our customers' needs with high quality products
2. Share our expertise to help the nation in achieving food security
3. Build a company of which all are proud, through the effort of self-motivated employees

As part of the team, we know you will discover that the pursuit for excellence is a rewarding aspect of your career without sacrificing the following shared values:

1. Integrity
2. Innovation
3. Respect
4. Teamwork
5. Malasakit

This handbook will guide you in general on what will be the expected behavior in your new 2nd home.

Again, we welcome you and we wish you all the best.

SANDEN Management Team

TABLE OF CONTENTS

		PAGE
I.	Introduction	4
II.	About Us	4
III.	Sanden Corporate Philosophy	5
IV.	G-SDRS Principles Action 2024.....	6
V.	Vision	7
VI.	Mission.....	8
VII.	Core Values.....	9
VIII.	Company Profile	10
IX.	Government Mandated Benefits.....	13
X.	SCP Provided Benefits	21
XI.	Employee Code of Discipline	23
XII.	Definition of Terms.....	48
XIII.	Employee's Acknowledgement Receipt & Acceptance	51
XIV.	Confidentiality Policy and Pledge	51

INTRODUCTION

This handbook is designed to acquaint, aims to provide basic and essential information about the company and matters related to employment. It is designed to be handy and compact as an easy reference for commonly asked questions particularly on general information about the company.

ABOUT US
SANDEN COLD CHAIN SYSTEM PHILIPPINES INC.

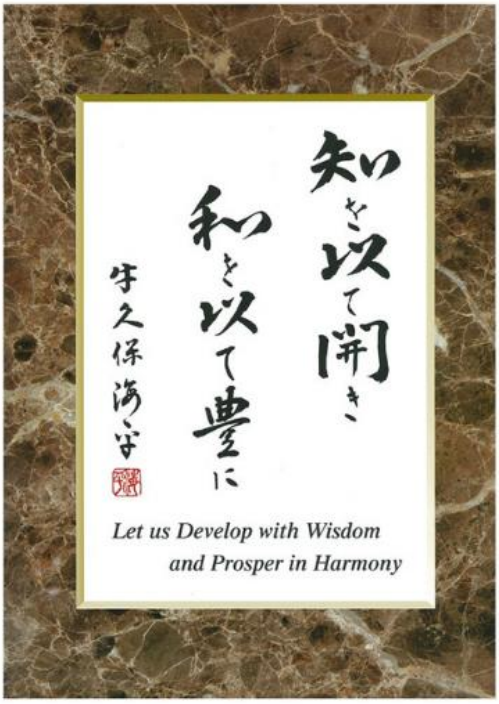
Under the Sanden Retail Systems Corporation (SDRS) of Japan, SCP was incorporated last August 2019.

Initially, as part of Sanden Philippines, SCP, in 2014, started to help in improving the lives of the Filipinos by launching the "Sanden Cold Chain System" where solutions are provided from the farm, food depot to delivery, retails stores and restaurants. This is an end to end food quality keeping everything fresh.

With Regional offices located in Luzon, Visayas and Mindanao and together with nationwide distributors and service providers, SCP is always ready to serve the needs of the country's cold chain industry.

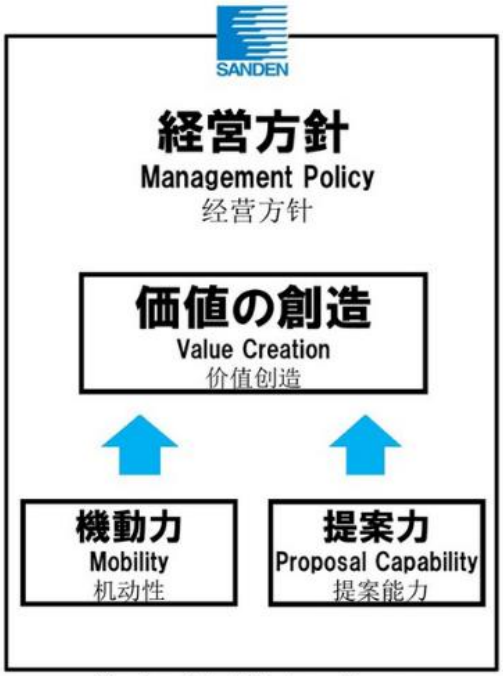
"Improving the Lives of Filipino People through Sanden Cold Chain System"

SANDEN CORPORATE PHILOSOPHY



Sanden Retail Systems Group

Sanden Retail Systems Group



Sanden Retail Systems Group

SANDEN

2025年
G-SDRS行動指針
G-SDRS Principles Action 2025

一. 新しい事に挑戦します

We will challenge anything new.

一. 価値ある仕事を追求します

We will pursue the value of our work.

以上スピードを以って行動します

We will act with speed according to the above policies.

Sanden Retail Systems Group

SANDEN

VISION

"**We are Sanden.**
Redefining the future of cooling by setting the benchmark for excellence in cold chain technology"

Sanden Cold Chain System Philippines Inc.

MISSION

- SATISFY OUR CUSTOMERS' NEED WITH HIGH QUALITY PRODUCTS
- SHARING OUR EXPERTISE TO HELP THE NATION IN ACHIEVING FOOD SECURITY
- BUILD A COMPANY OF WHICH ALL ARE PROUD, THROUGH THE EFFORT OF SELF-MOTIVATED EMPLOYES

CORE VALUES

HOW WE MAKE A DIFFERENCE?

let us walk the talk!

INTEGRITY

Being honest, consistent and with uncompromising adherence to strong moral and ethical principles and values

INNOVATION

Always striving to be better by creative thinking and doing new ideas

RESPECT

Showing respect for each other's values, culture, religious belief, differences, and contributions

TEAMWORK

We cooperate and always willing to work together to achieve set goals and objectives

MALASAKIT

We care for others, for ourselves and family, for the company and colleagues, for customers and suppliers, for the community, and for the environment

COMPANY PROFILE

Range of Products and Expertise
Food Service & F&B Retail Solution
Cold Storage System & Engineering Solution
Stainless Kitchen Solution
Vending Machines & Coffee Machine
Home Refrigerators
Pharma Bio-Ref
Preventive Maintenance Program

Cold Chain Products
Refrigerated Truck
Cold Storage System
Blast Freezer/Chiller
Refrigeration System
Roll-up Door, Dock Shelter, Dock Leveler
Remote Monitoring, Control and Alarm Management System
Humidifier/Dehumidifier
Ice Machine (Sea Snow)

GOVERNMENT MANDATED BENEFITS

A. Social Security System (SSS)

Type of Benefit	Qualification and Requirements
1.Sickness Benefit A daily cash allowance paid for the number of days a member is unable to work due to sickness or injury.	a. Minimum of four (4) unworked days due to sickness b. Member has at least paid 3-month contributions within the 12-month period immediately before the semester of sickness. c. Submit an accomplished Sickness Notification Form {SIÇ - 01252 (12-2015)} from attending physician within 5 days from day 1 of sickness; As applicable, attached the necessary medical record
2.*Maternity Benefit* A daily cash allowance granted to a female member who was unable to work due to childbirth or miscarriage.	a. Member has paid at least 3-month contributions within the 12-month period immediately preceding the semester of her childbirth or miscarriage b. Submit an accomplished Maternity Notification Form {SIC-01241(12-2015)} and attach proof of pregnancy the soonest the pregnancy is known; Coverage is limited to first four (4) deliveries including miscarriage
3. *Disability Benefit* A cash benefit paid to a member who becomes permanently disabled either partially or totally	a. Member with at least 1 month contribution paid prior to the semester of contingency b. Submit the following requirements; ▪ Disability Claim Application (SSS Form 03-2009); ▪ Medical Certificate (SSS Form 03-2009) ▪ Other documents that may be required to support the disability claim such as clinical and laboratory tests results, x-ray; and hospital records. ▪ SSS digitized ID or E-6 (acknowledgement stub) with two valid IDs, one of which with recent photo. c. The prescriptive period in the filing of disability benefit claim should be ten (10) years from the date of occurrences of disability.

4. *Retirement Benefit* It is a cash benefit either in monthly pension or lump sum paid to a member who can no longer work due to old age.	a. A member who is 60 years old, separated form employment or ceased to be self-employed, and has paid at least 120 monthly contributions prior to the semester of retirement. b. A member who is 65 years old whether employed or not and has paid at least 120 monthly contributions prior to the semester of retirement. c. A monthly pension is a lifetime cash benefit paid to a retiree who has paid at least 120 monthly contributions prior to the semester of retirement. d. The lump sum amount is granted to a retiree who has not paid the required 120 monthly contributions. e. Retirement claim application (SSS Form 04-2012); f. DDR Savings Account form; g. Certificate of Separation from last employer (for members less than 65 years old); h. Passbook (if pension); i. Certified true copies of birth or baptismal certificate of dependent children; j. Certificate of cessation of business or practice of profession (for self-employed less than 65 years old); k. Certified true copy of Marriage certificate (if with dependent children) l. Proofs of filiation for illegitimate dependent children; and m. SSS digitized or E-6 (acknowledgement stub) with two valid IDs, one of which with recent photo.
5. *Death and Funeral Benefit* A cash paid to the beneficiaries of a deceased member.	a. Had paid 36 monthly contributions before the semester of death Had no contribution payment at all and who was reported for coverage is entitled to funeral benefit only b. For Death claim a) Death claim application (SSS Form 04-2012) b) Filers affidavit c) DDR Savings Account Form d) Passbook (for Pension) e) Report of Death (if cause of death is work-connected) f) SSS Form CLD 13A (Affidavit for Death Claim, if claimant is a secondary beneficiary) g) SSS Form CLD 13 (Joint affidavit, if claimant is a

	legal heir) h) Photo of filer and valid IDs i) If married, marriage certificate of the deceased and birth certificates of minor children (duly certified by the Local Civil Registrar) j) If single, the deceased member's birth certificate and marriage certificate of the parents (duly certified by the Local Civil Registrar) Note: Other papers may be required as they are found to be necessary during the processing of the claim. c. For Funeral claim a) Claim for Funeral Benefit (SSS Form BPN-103) b) Death certificate duly certified by the local Civil Registrar
6. *Salary Loan* It is a privilege granted by SSS to covered employees to meet the member's short- term credit needs.	a. All currently employed, currently contributing self- employed or voluntary member. b. For one-month loan, the member-borrower must have 36 posted monthly contributions, six (6) of which should be within the last twelve (12) months prior to the month of filing of application. c. For two-month loan, the member-borrower must have 72 posted monthly contributions, six (6) of which should be within the last twelve (12) months prior to the month of filing of application. ▪ The member-borrower whose employer must be updated in the payment of contributions. ▪ The member-borrower must be under sixty five (65) years of age at the time of application. ▪ The member-borrower has not been granted final benefit (total permanent disability, retirement and death). ▪ The member-borrower has not been disqualified due to fraud committed against the SSS. d. A one-month salary loan is equivalent to the average of the member-borrower's latest posted 12 Monthly Salary Credits (MSCs), or amount applied for, whichever is lower.

	e. A two-month salary loan is equivalent to twice the average of the member-borrower's latest posted 12 Monthly Salary Credits (MSCs), rounded to the next higher monthly salary credit, or amount applied for, whichever is lower. f. The loan shall be charged an interest rate of 10% per annum, based on diminishing principal balance, and shall be amortized over a period of 24 months. If the loan is not fully paid at the end of the term, interest of 10% shall continue to be charged on the outstanding principal balance until fully paid. g. Any excess in the amortization payment shall be applied to the outstanding principal balance.
7. *Educational Assistance Loan*	a. Required number of contributions: At least 12 posted monthly contributions with at least 1 month contribution within the last 3 months prior to date of application for loan. b. Required monthly salary credit (MSC): Member-borrower whose last posted MSC is PhP 15,000 or below provided that his/her actual basic salary is not more than Php 25,000 c. Amount of loan ▪ Degree course – max of PhP 20,000 per semester/trimester or actual tuition/miscellaneous fees, whichever is lower; rounded off to the next higher PhP100. ▪ Vocational / Technical course – maximum of PhP 10,000 per semester / trimester or actual amount of tuition / miscellaneous fees, whichever is lower, rounded off to the next higher PhP 100. ▪ Number of availments – a member-borrower shall be allowed to avail only once to defray educational expenses. However, married members are allowed up to 2 beneficiaries who shall be of the following: member himself/herself, his/her spouse, his/her children. No substitution

	of beneficiary shall be allowed. d. Release of check The check shall be payable to school and shall be released to the member/beneficiary.

B. Employee Compensation (EC)

Qualifications & Requirements	How to Avail / Other Information
All SSS-registered employers and their employees are compulsorily covered under the program.	a. Monthly contribution is equivalent to one percent (1%) of the employee's monthly salary credit. b. Benefits include medical services, appliances and supplies provided to the afflicted member beginning on the first day of injury or sickness. But, however, limited to the ward services of an accredited hospital and physician. c. Benefits include Rehabilitation services, consisting of medical, surgical and hospital treatment. d. Benefits include income cash benefit: ■ Temporary Total Disability/Sickness - 90% of average daily salary credit, maximum of P200/day, ■ Permanent total disability - P2,000 min. monthly pension ■ Death - P2,000 minimum monthly pension ■ Funeral Benefit - P10,000

C. Philippines Health Insurance (PHILHEALTH)

PhilHealth benefit can only be availed if the sickness or illness requires hospitalization. It shoulders a certain percentage in the hospital expense of its members or its qualified dependent. The following must be met to avail of PhilHealth benefits:

1. Payment of at least 3-month contribution within 6 months prior to the month of confinement.
2. Confinement in an accredited hospital for at least 24 hours (except when availing of outpatient care and special packages) due to illness or injury requiring hospitalization.
3. Attending physicians must also be PhilHealth-accredited.
4. The 45 days allowance for hospital room and board is not consumed yet.

D. Pagtutulungan sa kinabukasan: Ikaw, Bangko, Industriya, Gobyerno (PAG-IBIG) also known as HDMF (Home Development Mutual Fund)

Type of Benefit	Qualification and Requirements	How to Avail / Other Information
Savings	Member must have remitted at least 240-month contributions.	a. Can double or triple your money benefit b. Tax-free dividend earnings c. Portability of savings d. Government -guaranteed
Multi-purpose Loan (MPL) **Immediate -** assistance to members who has at least made 24 monthly contributions	Members who have at least made 24-month contributions.	Equivalent to 80% of member's Total Accumulated Savings

Pag-ibig Housing Loan	a. Must be a member of good standing b. Must have remitted at least 24 monthly contributions	The maximum loan amount is P6 Million per account

E. Other Forms of Compensation/Benefits

13th Month Pay

13th-month pay shall mean 1/12 of the annual basic salary of an employee within a calendar year as defined in Presidential Decree 851.

A direct-hire employee who have at least rendered one-month service during the calendar year. The 13th month pay is computed as an equivalent of current monthly basic salary and shall be reduced by the fraction of the month considered as unproductive days

Paternity Leave

Paternity leave refers to the benefits granted to a married male employee in the private and public sectors allowing him to take a leave for 7 days, with full pay, for the first 4 deliveries of his legitimate spouse with whom he is cohabiting. The basis of paternity leave benefits is found in Republic Act No. 8187, otherwise known as the "Paternity Leave Act of 1996."

It is important that a Paternity Notification is filed the moment that the conception of the spouse is known, chances of forfeiture if there is a neglect on requirement for notification.

OVERTIME (Compensation outside Normal Hours)

Overtime pay refers to the additional compensation for work performed beyond eight (8) hours a day.

The minimum overtime pay rates vary according to the day the overtime work is performed:

Example: If the computed daily rate: Php 689. 66

		Rate Per Hour	ND Per Hour
Regular Duty	100%	86.21	8.62
Restday Duty	130%	112.07	11.21
Legal Holiday	200%	86.21	17.24
Special Holiday	130%	112.07	11.21
Legal Holiday on Restday Duty	260%	224.14	22.41
Special Holiday on Restday Duty	150%	129.31	12.93

Overtime	125%	107.76	10.78
Restday OT	169%	145.69	14.57
Legal Holiday OT	260%	224.14	22.41
Special Holiday OT	169%	145.69	14.57
Legal Holiday on Restday OT	338%	291.38	29.14
Special Holiday on Restday OT	195%	168.10	16.81

*ND – night shift differential pay, rate for work performed between 10PM and 6AM.

SPECIAL LEAVE FOR WOMEN

- Battered Women Leave (BWL) – Any female employee suffering the condition for a 10-day paid leave that will be consumed to attend to a legal or medical need.

- Special Leave of Women (SLW) – Any female employee who underwent surgery such as, but not limited to, dilatation and cutterage and those involving female reproductive organs such as the vagina, cervix, uterus, fallopian tubes, ovaries, breast, adnexa and pelvic floor; including gynecological surgeries such as hysterectomy, ovariectomy, and mastectomy; as certified by a competent physician is entitled to 2-month leave with pay.

SCP PROVIDED BENEFITS

Item #	Description	Remarks
1	5 year Service Award	Awarding during Christmas Party
2	10 year Service Award	Awarding during Christmas Party
3	15 year Service Award	Awarding during Christmas Party
4	20 year Service Award	Awarding during Christmas Party
5	25 year Service Award	Awarding during Christmas Party
6	Annual Christmas Party	December
7	Annual Sports Fest or Team Building	
8	Annual Physical Exam	4th Quarter of the year
9	Bereavement Aid	Php 10,000.00
10	Birthday Gift	
11	Bonus (December)	Management discretion/based on Company Sales performance and IBT
12	Company Summer Outing	
13	Company Salary Loan (Emergency Loan)	1 Month Salary
14	Company Salary Loan (Salary Loan)	1 Month Salary
15	Company Salary Loan (Educational Loan)	Php 10, 000.00
16	Employee of the Year	Awarding during Christmas Party
17	Learning & Development Programs	Continuous Education (Soft & Technical Skills)
18	Group Life Insurance	
19	Meal allowance during Official Business	Php 120.00

20	HMO Card	MBL coverage per sickness (employee only)
21	Medicine Allowance	Amounting of P2,000.00 per year
22	Per Diem	Php 500.00 / day
23	Performance Appraisal	
24	PPE's	Occupational Health & Safety (OHS) compliant working environment
25	Provision of Uniform	
26	Punctuality Award	Awarding during Christmas Party
27	Retirement Plan	22.5 days per year of service
28	Rice Subsidy / Allowance	
29	Vacation Leave	15 days
30	Sick Leave	15 days
31	Birthday Leave	within Birth Month
32	Vaccination (Flu)	2nd Quarter of the Year
33	Transportation	Free Shuttle service at designated pick up points
34	Travel Opportunity	Business trips to Sanden fronts, suppliers & customers, attendance to trade conventions, and exhibits

EMPLOYEE CODE OF DISCIPLINE

POLICY STATEMENT

SANDEN COLD CHAIN SYSTEM PHILIPPNES INC., believes the working environment should at all times be supportive of the dignity and self-esteem of individuals. Achieving this desired environment greatly depends upon the mutual respect, cooperation and understanding among fellow workers. Attitude and behavior that undermine this goal are detrimental to all and should not be tolerated.

The success of the organization is the foundation upon which just wages are paid. There can be no success without discipline. Discipline is a key factor in any business undertaking. It promotes greater efficiency in business operations, creates a general condition of *orderliness* conducive to greater employee **productivity**. The purpose of disciplinary action is not to punish the personnel concerned but to correct his or her performance or behavior. It also demonstrates management commitment to promote discipline among all personnel (regardless of status and position).

OBJECTIVES

1. To promote order and industrial peace and harmony, to achieve efficiency in the company operations;

2. To educate the employee in the standards of behavior and performance, to help them realized that policies, rules and regulations are enforced for their own benefit and not to coerce or punish them;

3. To let the employee realize that the purpose of the penalty is not to exact retribution or vengeance but to impress upon the employee the need for doing things in a prescribed manner;

4. To establish penalties for purposes of fairness, justice and due process in the imposition of disciplinary penalties although it must be understood that the emphasis is to prevent infractions of these rules rather than administration of penalties;

5. To protect the rights of every employee by early specifying what may or may not be properly done under specified circumstances;

6. To establish a uniform and consistent procedure in the administration of employee discipline.

Disciplinary action taken against an employee - Management must ensure that the disciplinary action is proportionate to the gravity of the offense that is imposed in compliance with the requirements of due process.

CONFIDENTIAL INFORMATION

All information obtained or secured in the course of employment – whether or not related to the employees' job description – is considered confidential. Thus, the Company's business plans, financial statements, reports, technical data, records, research and development projects, or long–range projections are classified as confidential. Violation of this confidentiality rule shall be considered a serious offense and may be punishable by dismissal.

MANAGEMENT PREROGATIVES

In order to ensure the efficient conduct of the Company's operations/business, management shall be guided with the following directions relative to employee's discipline.

Management may subsequently issue, in the form of general or regular memorandum, other rules and regulations that may become necessary at a later date.

A penalty imposed upon an employee as a form of disciplinary action shall not exempt him/her to his/her prosecution in the proper court of justice if the same act of offense constitute a violation of the Philippine Laws.

Aside from any sanction imposed, management may also require the employee to pay damages or losses incurred by the company as a result of a violation committed.

Management shall also undertake a periodic review of the Disciplinary Policies and Procedures of the company to ensure that these are kept-up-to date and responsive to the needs of the Company.

WORK RULES

All employees are expected to observe and abide the regulations herein as well as those that may be subsequently prescribed by the Management. Any employee who violates company policies will be subject to disciplinary action. This shall apply whether the violation is committed:

- inside the company premises while on or off duty
- outside the company premises while performing official duty
- inside the company staff house
- or while riding company vehicle/shuttle service

RESPONSIBILITIES

It shall be the responsibility of:

A. The Employee

1. To **be aware** of the provisions of the Code of Discipline especially those which relate to the acceptable standards of behavior
2. To work in accordance with said acceptable standards of behavior

B. The Immediate Superior/Department Head

1. To **disseminate and explain** the provisions of the Code of Discipline to their subordinates
2. To **implement t**he provisions of the Code with the objective of promoting healthy work environment for their subordinates
3. To ensure that the acceptable standards of behavior, as embodied in the Code of Discipline, are well complied with
4. To instill discipline in his area of responsibility. Thus, he is expected to take the lead role in the implementation of the disciplinary process.

C. The Human Resource and Administration Department

1. To assist in the dissemination and explanation of the provisions of the Code of Discipline to the employees.
2. To assist in instituting the appropriate disciplinary action to erring employees, and in the overall implementation of the Code of Discipline.

PROCEDURE

I. Procedure in Administrative Proceedings

A. Discovery of Violation

Anyone who discovers a violation by an employee of this Code of Discipline and other Company policies and procedures must be immediately reported the same to the employee's Immediate Superior with simultaneous notification to the Human Resources & Admin Department (HRAD).

B. Preliminary Investigation

The Immediate Superior or Manager or Regional Manager receiving the above-described information shall, as far as practicable, within forty-eight (48) hours from receipt or knowledge of such information, conducts an investigation to establish the basic facts of the case (e.g. who were involved, what happened, when it happened, where it happened, how it happened, and the amount of probable loss, if any).

In addition, the Immediate Superior / HRAD shall secure all evidences, such as pertinent documents, pictures and videos, and take steps to obtain written statements or notarized affidavits of witnesses.

It is also expected if needed, that the security personnel /OIC will conduct investigation and prepare a comprehensive incident report to submit directly to the Human Resource & Admin Department (HRAD).

C. Issuance of Notice to Explain (NTE)

If there is substantial evidence showing that the employee committed a violation of the Code of Discipline and the Company's policies and procedures, HRAD will serve to the employee a written Notice to Explain (NTE) stating the specific acts or omissions constituting the offense, the provisions of the Code of Discipline or company policy violated, and relevant provisions of the Labor Code, if any. The NTE will be coursed thru his/her immediate superior. The written notice must require the employee to submit a written explanation within five (5) working days from receipt of such notice.

If the employee refuses to answer and sign the NTE, his refusal shall be indicated in the memo and shall be attested by a witness. In this manner, it will lead another violation incurred by the concerned employee.

D. Administrative Hearing

Cases with a possible penalty of suspension or dismissal will be scheduled for an Administrative Hearing to be conducted after the receipt of the employee's written reply to the NTE or upon the lapse of the period to reply. A separate notice of the Administrative Hearing stating the date, time and place of investigation shall be sent to the employee. Subject to the procedures of the investigation, the employee may bring a counsel of his choice at his own expense, whose only participation is to advise the employee whether or not to answer the questions during the investigation.

The proceedings of the Administrative Hearing shall be recorded and transcribed.

E. Preventive Suspension

Prior to or during the investigation, the employee concerned may be placed under preventive suspension. This is not a penalty but a preventive measure adopted by the Company when the employee's continued employment poses a serious and imminent threat or danger to the life and/or property of the Company or to his co-employees.

The preventive suspension shall be without pay for a maximum period of thirty (30) calendar days. If later on, the employee would be found innocent of the charges against him, the Company shall pay his wages and benefits for the period that he was under preventive suspension.

In the event that the preventive suspension should be extended beyond 30 calendar days, the employee's wages and benefits shall be paid during such extended period. Should he be found guilty of the charges, he shall not be bound to reimburse what the Company has paid during such extended period.

An employee who is placed under preventive suspension will not be allowed to enter the company premises and his network access will be temporarily deactivated. If the employee needs to access his computer files to aid him in the investigation or for his written explanation, he may do so with the prior written approval by the Management.

F. Issuance of Notice of Disciplinary Action (NDA)

Based on the evidence gathered and the findings at the Administrative Hearing, the Top Management together with HRAD shall decide on the appropriate disciplinary action based on the suggested penalties in this Code of Discipline.

The HRAD will serve to the employee a written Notice of Disciplinary Action (NDA) as a conclusion of the last Administrative Hearing. The NDA shall contain a concise statement of the facts, the offense/s committed, the legal basis for the decision and the sanction or penalty.

G. Enforcement of Decision

If the penalty is Verbal Warning, the Immediate Superior shall make the said reprimand. The conduct of the Verbal Warning shall be properly documented by the Immediate Superior, and the written record or document shall be signed by the Immediate Superior and employee concerned.

If the penalty is Written Reprimand, Suspension or Dismissal, the notice shall be signed by the Immediate Superior and approved by the Department Head and Top Management.

TYPES OF PENALTIES

1. Verbal Warning

This is an oral advice given by the Immediate Superior to the employee for the purpose of calling his/her attention on the violation. The immediate superior should counsel the employee on the better behavior in the future with a reminder that a repetition would merit a more serious penalty in the future.

2. Written Reprimand

A Written Reprimand is an admonition in writing addressed to the employee, summarizing the events that led to the imposition of the penalty, stating the basis therefore and reminding the employee that a repetition of the offense shall warrant a stiffer penalty.

3. Suspension

Suspension is a forced withdrawal from work and withholding of pay for a designated period, during which time, the employee is barred from entering the company premises without the approval of HRAD.

The employee shall be served an NDA indicating the exact dates to be covered by the suspension, the offenses for which he is being suspended and the grounds for the imposition of the penalty/ies.

While the suspension imposed as a penalty is distinct from preventive suspension, as defined in Procedure (E), the period served in the latter shall be credited to the former. In the event the period of preventive suspension served is in excess of the period of suspension imposed as a penalty, the employee shall be entitled to his pay corresponding to the difference in the number of days already served and the period of suspension imposed as a penalty.

4. Dismissal

This refers to involuntary termination of employment and the forfeiture of all benefits which the employee would normally be entitled to upon retirement, voluntary resignation or other separation for reasons other than just or authorized causes of termination. It is dishonorable separation from the service due to the employee's fault for just cause under Article 282 of the Labor Code or for a violation of this Code of Discipline, which is penalized with dismissal.

APPLICATION OF PENALTIES

1. Offenses and their Corresponding Penalties

Subject to the Classification of Offenses hereof, the following corrective sanctions shall be imposed for the offenses specified and described in this Code of Discipline.

Category A	**Penalties**
1st Offense	Verbal Reprimand
2nd Offense	Written Reprimand
3rd Offense	7 Days Suspension
4th Offense	15 Days Suspension
5th Offense	30 Days Suspension
6th Offense	Dismissal

Category B	**Penalties**
1st Offense	Written Reprimand
2nd Offense	7 Days Suspension
3rd Offense	15 Days Suspension
4th Offense	30 Days Suspension
5th Offense	Dismissal

Category C	Penalties
1st Offense	15 Days Suspension
2nd Offense	30 Days Suspension
3rd Offense	Dismissal
Category D	
1st Offense	30 Days Suspension
2nd Offense	Dismissal
Category E	
1st Offense	Dismissal

In the imposition of the appropriate penalty and in determining the period of suspension, the following should be considered, whether attempted, frustrated or consummated; the degree of participation of the employee, whether as principal, accomplice or accessory; his tenure, position and rank; as well the presence of justifying, mitigating, aggravating and other relevant circumstances shall be taken into account.

Notwithstanding the classification of offenses hereof, the Company, in the exercise of sound discretion, is not precluded from imposing a lighter or graver penalty than that prescribed for a particular level of offense depending on the nature of the offense and /or the presence of circumstances described in the immediately preceding paragraph.
Although not specifically provided for in the above table of penalties, the penalty of 30-day suspension may be imposed for offenses punishable by dismissal, subject to the presence of mitigating and other such circumstances favorable to the employee.

2. Justifying Circumstances

If the offense resulted from the employee's compliance in good faith with a lawful order, instruction or advice of a superior or proper authority, or an existing policy or procedure; or when the employee acted under duress, threat of harm or injury, such circumstance may justify the commission of the offense. Consequently, the prescribed penalty may not be imposed.

3. Mitigating Circumstances

Mitigating circumstances shall have the effect of lowering the level of the offense (except in the case of a Category E), decrease the appropriate penalty or set-off the effect of aggravating circumstances, if any. Mitigating circumstances include but are not limited to the following:

a) Employee has no prior record of violation;
b) Employee has record of exemplary performance;

c) Employee voluntarily admitted the commission of the offense at the first opportunity; and
d) The degree of participation by the employee was minimal and not crucial to the consummation of the act constituting the offense.

4. Aggravating Circumstances

Aggravating circumstances shall raise the level of the offense to the next level or merit the application of a higher penalty. Such circumstances include but are not limited to the following:

a) Employee has previous record of violations;
b) The offense was committed with evident premeditation or deceit;
c) The employee was motivated by a reward, promise of reward or a desire for personal gain;
d) There was abuse in the use of authority

In the imposition of the appropriate penalty and in determining the period of suspension, the stage of the commission of the offense, whether attempted, frustrated or consummated; the degree of participation of the employee, whether as principal, accomplice or accessory; his tenure, position and rank; as well the presence of justifying, mitigating, aggravating and other relevant circumstances shall be taken into account.

Notwithstanding the classification of offenses hereof, the Company, in the exercise of sound discretion, is not precluded from imposing a lighter or graver penalty than that prescribed for a particular level of offense depending on the nature of the offense and /or the presence of circumstances described in the immediately preceding paragraph.

Although not specifically provided for in the above table of penalties, the penalty of 30-day suspension may be imposed for offenses punishable by dismissal, subject to the presence of mitigating and other such circumstances favorable to the employee.

5. Reckoning Period

****Past offenses shall be reviewed to determine whether the employee is a habitual offender. Thus, and employee may be dismissed if the number of past offenses warrants such penalty even if the offense considered separately may not warrant a dismissal. However, in establishing whether an employee had only occasional lapses of misbehavior or shows pattern of incorrigibility, the length of time between offenses shall be considered.**

Depending on the seriousness of the offense, the employee is given a "fresh start" or "clean slate" after the lapse of a particular period, as follows:

Type "A" Offense - After one (1) year
Type "B" Offense - After two (2) years

After the lapse of these aforementioned periods, the prescribed duration or period shall no longer apply to future offenses under the same classification.

TABLE OF CODE OF DISCIPLINE

The Company Rules and Regulations (CRR) are not complete and absolute. The Company reserves the right to create new rules or revise existing ones as it deems necessary.

Rule No. I	Nature of Offense ***OFFENSES AGAINST COMPANY INTEREST AND PROPERTY***	Category	No.of Offense	Disciplinary Action
I.1	Misappropriating or embezzling Company funds or property	E	1st Offense	Dismissal
I.2	Infidelity in the custody of Company document (s) such as but not limited to: · Removal, concealment or destruction by any employee who have been officially entrusted with Company document (s). Provided, however that if the act committed by the employee is removal, such act is for an illicit purpose, i.e.: · to profit by it, or · To commit an act constituting a breach of trust in the official care thereof.	E	1st Offense	Dismissal
I.3	Knowingly and falsely representing oneself to be an officer, agent or representative of the Company or any of its department or branch officers	E	1st Offense	Dismissal
I.4	Attempt stealing or pilfering company or other person's properties,	E	1st Offense	Dismissal
I.5	Failure to keep in custody, revealing,	E	1st Offense	Dismissal

	releasing or divulging any confidential files, information, records, intellectual property, etc. that will be prejudicial to the company's operations such as but not limited to: a) Custody of company funds or property, or b) Handling or control of Company stock, materials, etc. c) Protection/care of Company assets, or d) Access to confidential files, paper or documents.			
I.6	Fraudulent or unauthorized withdrawal/acquisition or release to other person(s) of company funds or property	E	1st Offense	Dismissal
I.7	Conniving with suppliers, service providers, for personal gains	E	1st Offense	Dismissal
I.8	Moonlighting, ***rendering services to another employer or personal client during work time and/or client of the Company.***	E	1st Offense	Dismissal
I.9	Deliberately damaging or attempting to damage company property or property of others within company premises	E	1st Offense	Dismissal
I.10	Sabotage, Willfully, or Deliberately damaging company property/(ies)	E	1st offense	Dismissal
I.11	Vandalism or act of destroying things such as writing, carving, etching painting or posting writings or drawings, or other similar acts which tend to deface company property	D	1st Offense 2nd Offense	30 days suspension Dismissal
I.12	Unauthorized possession or use of company property. Personal use of Company facilities, equipment, vehicles and other properties without prior authorization.	C	1st Offense 2nd Offense 3rd Offense	15 days suspension 30days suspension Dismissal
I.13	Tampering or unauthorized substitution of company materials, tools & equipment with damaged or ruin personal items.	C	1st Offense 2nd Offense 3rd Offense	15 days suspension 30 days suspension Dismissal
I.14	Unauthorized withdrawal or removing of company property from the company premises and/or bringing out any company property without proper documentations or authorization	C	1st Offense 2nd Offense 3rd Offense	15 days suspension 30 days suspension Dismissal

I.15	Giving company identification material to any person not entitled to it, or assisting any employee or person to enter company premises without permission from authorized personnel	C	1st Offense 2nd Offense	15 days suspension 30 days suspension
			3rd Offense	Dismissal
Rule No. **II**	**Nature of Offense** ***DISHONESTY***	**Category**	**No.of Offense**	**Disciplinary Action**
II.1	***Making false claims or false statements in employment records***. Giving whether oral or in writing untruthful statements or narration of facts during official or company investigation or ***planting evidence against another employee.***	***E***	***1st Offense***	***Dismissal***
II.2	Intentionally opening of closed documents or objects by an employee or permitting to be opened said closed documents or subjects entrusted to his custody	E	1st Offense	Dismissal
II.3	Falsification, counterfeiting, forging, tampering of documents, records such as but not limited to: time records, 201 files, document controlled records, leave applications, medical records, personal records submitted to the company, liquidation, and other pertinent documents	E	1st offense	Dismissal
II.4	***Forging the signature of company officers, co-employees, clients or other persons.***	E	1st offense	Dismissal
II.5	***Intentionally hiding records, documents, instruments, papers and deeds of the Company.***	***E***	***1st Offense***	***Dismissal***
II.6	All other acts of dishonesty which cause or tend to cause prejudice to the Company	E	1st Offense	Dismissal
II.7	***Intentionally altering on one's timecard.***	D	1st Offense 2nd Offense	30 days suspension Dismissal
II.8	Installing and/or using unlicensed software/programs, computer games, movies, videos, or any other applications which are not related to work at any given time	B	1st Offense 2nd offense 3rd Offense 4th offense	Written Warning 7 days suspension 15 days suspension 30 days suspension

			5th offense	Dismissal
II.9	Unauthorized withdrawal of one's salary, wage, or commission from the company	C	1st Offense	15 days suspension
			2nd Offense	30 days suspension
			3rd Offense	Dismissal
Rule No. III	**Nature of Offense** **OFFENSES ON GROSS & HABITUAL NEGLECT IN THE PERFORMANCE OF DUTIES**	**Category**	**No. of Offense**	**Disciplinary Action**
III.1	Repetitive commission of minor negligence resulting to great loss & damage to company property amounting to 100k and up	E	1st Offense	Dismissal
III.2	Gross negligence resulting to great loss & damage to company property amounting to P50K and up	E	1st offense	Dismissal
III.3	Failure to report loss or damage of company property, spoilage or damage of products within forty-eight hours (48)hours	C	1st Offense	15 days suspension
			2nd Offense	30 days suspension
			3rd Offense	Dismissal
III.4	Malingering or pretending to be sick in order to be excused from work or ***to avoid assigned work***	C	1st Offense	15 days suspension
			2nd Offense	30 days suspension
			3rd Offense	Dismissal
III.5	***Failure to submit the manual time Card/time sheet or record log sheet card on prescribe advised schedule.***	A	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	7 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension
			6th offense	Dismissal
III.6	***Failure to use biometrics or record log sheet time card (the In and Out) during regular work shift or overtime.***	A	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	7 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension
			6th offense	Dismissal
III.7	Frequently receiving visitors during office hours for personal business or receiving or making frequent personal telephone calls ***(except when such calls are necessitated by an***	A	1st offense	Verbal Warning
			2nd offense	Written Warning

	emergency).		3rd offense	7 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension
			6th offense	Dismissal
III.8	Continuing unsatisfactory performance as shown by an overall record of any, but not limited to the following : · Poor workmanship · Breakage or spoilage of materials due to faulty or careless work. · Frequent breakdown of machine handled or operated · Poor sales record. · Involvement in a series of work accident. · Other acts analogous to the foregoing	***C***	***1st Offense***	***15 days suspension***
			2nd Offense	***30 days suspension***
			3rd Offense	***Dismissal***
III.9	Deliberately slowing down, hindering, and/or limiting work output, ***including influencing others to do the same.***	D	1st Offense	30 days suspension
			2nd Offense	Dismissal
III.10	Acts of negligence or carelessness committed during working time or on company premises resulting in personal injury or damage to property belonging to the Company/(ies) or third parties, or otherwise causing expenses to be incurred by the Company/(ies). Amount of damage shall be charged to employee	C	1st Offense	15 days suspension
			2nd Offense	30 days suspension
			3rd Offense	Dismissal
III.11	***Abandonment of Work - Leaving the workplace or company premises during working hour without approval from the immediate superior and/or manager. This includes unauthorized under time.*** Established practices such as coffee breaks, lunch, etc. are excluded from this rule)	C	1st Offense	15 days suspension
			2nd Offense	30 days suspension
			3rd Offense	Dismissal
III.12	Causing "considerable damage" to or loss of materials less than P50K, parts or equipment or endangering the efficiency due to neglect of duty	C	1st Offense	15 days suspension
			2nd Offense	30 days suspension
			3rd Offense	Dismissal
III.13	Sleeping while on duty	C	1st Offense	15 days suspension
			2nd Offense	30 days suspension
			3rd Offense	Dismissal
III.14	***Failure to comply with standard operating procedures and/or perform regularly assigned duties or specific instructions***	B	1st offense	Written Warning
			2nd offense	7 days suspension

	related to his duties & responsibilities.		3rd offense	15 days suspension
			4th offense	30 days suspension
			5th offense	Dismissal
III.15	Committing other acts of negligence, inefficiency or neglect of duty that is not fatal or prejudicial to the company.	B	1st offense	Written Warning
			2nd offense	7 days suspension
			3rd offense	15 days suspension
			4th offense	30 days suspension
			5th offense	Dismissal
III.16	Failure to properly wear prescribed work uniform & violation of any regulations on the use and wearing of required company identification card (ID) when on duty	A	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	7 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension
			6th offense	Dismissal
III.17	Failure to inform the HRAD within thirty (30) days of any change in civil status address, dependents, and contact number/s	A	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	7 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension
			6th offense	Dismissal
III.18	Wasting time such as but not limited to: a. Reading (except materials related to work) or performing work of personal nature during working time b. prolonging rest periods or break time more than what is authorized c. Loitering in comfort rooms, canteen co - employee work place while on duty	A	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	7 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension
			6th Offense	Dismissal
III.19	Absence Without Official leave from work which exceed five (5) working days is considered as abandonment of work	E	1st Offense	Dismissal
III.20	In cases where the AWOL extends from more than two (2) but not more than (5) consecutive working days, these shall be	D	1st Offense	30 days suspension
			2nd Offense	Dismissal

	considered as excessive.			
III.21	AWOL for one (1) or at most two working days	C	1st Offense	15 days suspension
			2nd Offense	30 days suspension
			3rd Offense	Dismissal
III.22	Unexcused absence incurred 4X within a month	A	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	7 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension
			6th Offense	Dismissal
III.23	Unauthorized absence during pre-arranged overtime or holiday work	A	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	7 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension
			6th Offense	Dismissal
III.24	Failure to file leave of absence on time	A	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	6 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension
			6th offense	Dismissal
III.25	Unexcused/ Habitual Tardiness incurred 4x within a month. Habitual is defined as having tardiness on a same day in one month period	A	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	6 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension
			6th offense	Dismissal

Rule No. IV	**Nature of Offense** **OFFENSES AGAINST NEGLECT OF DUTY SUPERVISORS / MANAGERS**	Category	No. of Offense	Schedule of Offenses
IV.1	Loss of Trust & Confidence due to: a) Incompetence in the performance of duties b) Lack of interest in carrying out his/her work c) Repetitive failure to attain goals and objectives set by the Company despite clear directives have been made ***d)*** Other acts such frauds, falsification, malversation, and all sorts of dishonesty and betrayal of trust	E	1st Offense	Dismissal
IV.2	Unbecoming conduct such as usurpation of authorities e.g. performing any act pertaining to any person in authority in the company, or any department thereof, without being officially entitled to do so	E	1st Offense	Dismissal
IV.3	Failure to disseminate to employee under his/her supervision, Company policies, work rules, work procedure and other significant information	C	1st Offense	15 days suspension
			2nd Offense	30 days suspension
			3rd Offense	Dismissal
IV.4	Tolerating subordinates on acts detrimental to company operations such as but not limited to playing computer games on company time	C	1st Offense	15 days suspension
			2nd Offense	30 days suspension
			3rd Offense	Dismissal
IV.5	Supervisor's failure to submit in writing any conducted investigations to HRAD particularly in the areas of work-related accidents involving his/her subordinates	B	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	15 days suspension
			4th offense	30 days suspension
			5th offense	Dismissal
Rule No. V	**Nature of Offense** OFFENSES AGAINST SAFETY, HEALTH, SECURITY REGULATION, & HOUSEKEEPING	**Category**	**No. of Offense**	**Disciplinary Action**
V.1	Smoking in prohibited area(s): In premises where there are flammable materials	E	1st Offense	Dismissal
V.2	Smoking in prohibited area(s): Other premises where smoking is prohibited / Smoking while walking inside company premises	C	1st Offense	15 days suspension
			2nd Offense	30 days suspension
			3rd Offense	Dismissal

V.3	Unauthorized entry to restricted areas.	C	1st Offense	15 days suspension
			2nd Offense	30 days suspension
			3rd Offense	Dismissal
V.4	Throwing flammable materials/liquids or lighted cigarettes into trash cans or waste containers whether deliberate or not	D	1st Offense	30 days suspension
			2nd Offense	Dismissal
V.5	Not reporting a serious contagious disease which may endanger the health of other employees	D	1st Offense	30 days suspension
			2nd Offense	Dismissal
V.6	Failure or refusing to undergo the required annual physical examination or orders for medical/health requirements of the company despite notification has been made.	D	1st Offense	30 days suspension
			2nd Offense	Dismissal
V.7	Failure to report immediately any damage to or defects of a company motor vehicle, operating machine, special tool or equipment the operation of which requires specialized skills	D	1st Offense	30 days suspension
			2nd Offense	Dismissal
V.8	Non-observance of other safety rules, regulation and safety warning in the general working area such as but not limited to over spending inside company premises	C	1st Offense	15 days suspension
			2nd Offense	30 days suspension
			3rd Offense	Dismissal
V.9	Unauthorized use of machine, tools and equipment, vehicles and other company properties.	B	1st offense	Written Warning
			2nd offense	7 days suspension
			3rd offense	15 days suspension
			4th offense	30 days suspension
			5th offense	Dismissal
V.10	Urinating on walls and areas other than comfort rooms or Company urinals	B	1st offense	Written Warning
			2nd offense	7 days suspension
			3rd offense	15 days suspension
			4th offense	30 days suspension
			5th offense	Dismissal
V.11	Failure to wear or use proper safety shoes and authorized protective equipment when required by the nature of work	B	1st offense	Written Warning
			2nd offense	7 days suspension
			3rd offense	15 days suspension
			4th offense	30 days suspension
			5th offense	Dismissal
V.12	Failure to immediately report a personal	B	1st offense	Written Warning

	accident or injury incurred on company time or premises.		2nd offense	7 days suspension
			3rd offense	15 days suspension
			4th offense	30 days suspension
			5th offense	Dismissal
V.13	Tampering with or misuse of fire protection equipment/unauthorized use of fire protection or equipment other than its primary purpose	B	1st offense	Written Warning
			2nd offense	7 days suspension
			3rd offense	15 days suspension
			4th offense	30 days suspension
			5th offense	Dismissal
V.14	Failure to unplug electrical tools, machines and equipment after usage or at the end of a workday	B	1st offense	Written Warning
			2nd offense	7 days suspension
			3rd offense	15 days suspension
			4th offense	30 days suspension
			5th offense	Dismissal
V.15	Non-observance, creating or contributing to poor housekeeping or unsanitary conditions such as spitting, littering	A	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	7 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension
			6th offense	Dismissal
V.16	Failure to keep/return tools, materials, parts machines or equipment in their proper places and/or order after usage or at the end of a workday	A	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	7 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension
			6th offense	Dismissal
V.17	Refusal to cooperate with security procedure such as frisking and inspection	A	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	7 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension
			6th offense	Dismissal

V.18	Unauthorized entry or stay within Company premises without any work-related transactions.	A	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	7 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension
			6th offense	Dismissal
V.19	Improper, incorrect use or handling of equipment material, tools, motor vehicles and other company property; without damage and disruption to operations	A	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	7 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension
			6th offense	Dismissal
Rule No. VI	**Nature of Offense** **OFFENSES AGAINST COMPANY OFFICIALS, SUPERIORS, CO-EMPLOYEES & MORAL STANDARDS (UNDESIRABLE & DISORDERLY BEHAVIOR)**	**Category**	**No. of Offense**	**Disciplinary Action**
VI.1	Insulting , assaulting , threatening with bodily harm or showing disrespect to any member of the company	D	1st Offense 2nd offense	30 days suspension Dismissal
VI.2	Damaging or pose a threat to company interest (s)/image through acts or omissions which affect client (s), official visitor or guests such as uttering words, doing acts, or making gestures to said client (s), guest (s), visitor (s) which are "evidently" insulting or "grossly" disrespectful /discourteous.	D	1st Offense 2nd offense	30 days suspension Dismissal
VI.3	Entering company premises or performing work while under the influence of liquor causing loss or damage to company property and/or harm to co-employee(s)	C	1st Offense 2nd offense 3rd offense	15 days suspension 30 days suspension Dismissal
VI.4	Attempting to bring explosives, firearms, bladed or other deadly weapons inside company premises	E	1st Offense	Dismissal
VI.5	Gambling in any form, promoting or assisting gambling operators, betting, lottery or any game of chance within the company premises during company time	E	1st Offense	Dismissal

VI.6	Inciting others to disturbance, disorders or plots for the purpose of disrupting the company's operations or business or peace and order within the company premises by means of routing petition letters, speeches, writings on other representations tending to the same end	E	1st Offense	Dismissal
VI.7	Encouraging, inducing or threatening another employee to perform an act constituting a violation of this Code or of company work rules or an offense in connection with the official duties of the latter, or allowing himself to be persuaded, induced or influenced to commit such offense.	D	1st Offense 2nd Offense	30 days suspension Dismissal
VI.8	Threatening, intimidating, coercing, harassing, provoking a fellow employee to engage in a fight during office hours or Company time and activities	D	1st Offense	30 days suspension
			2nd Offense	Dismissal
VI.9	Inflicting bodily injury to another person within Company premises and during Company related activities and business	D	1st Offense	30 days suspension
			2nd Offense	Dismissal
VI.10	Distributing written or printed matters or any description at any time within the Company premises without proper authorization	B	1st offense	Written Warning
			2nd offense	7 days suspension
			3rd offense	15 days suspension
			4th offense	30 days suspension
			5th offense	Dismissal
VI.11	Drinking of alcoholic beverages during working time or on company premises, except during company socials or authorized occasions	D	1st Offense	30 days suspension
			2nd Offense	Dismissal
VI.12	Using profane or indecent language and act in addressing or conversation with another person and / or using indecent, abusive, derogatory, indecorous words during working time or within Company premises	B	1st offense	Written Warning
			2nd offense	7 days suspension
			3rd offense	15 days suspension
			4th offense	30 days suspension
			5th offense	Dismissal
VI.13	Intriguing against honor; rumor mongering another employee which tends to discredit or contempt or telling any form of telltale which disrupts peace and orderliness in the company	C	1st Offense	15 days suspension
			2nd Offense	30 days suspension
			3rd Offense	Dismissal
VI.14	Soliciting money or material objects for any purpose not sanctioned by the Company	C	1st Offense	15 days suspension
			2nd Offense	30 days suspension
			3rd Offense	Dismissal

VI.15	Indulging in any form of usurious (loan shark) money - lending activities within Company premises or Company time	C	1st Offense 2nd Offense	15 days suspension 30 days suspension
			3rd Offense	Dismissal
VI.16	Unauthorized posting, altering, or removing any matter posted at the bulletin board	B	1st offense	Written Warning
			2nd offense	7 days suspension
			3rd offense	15 days suspension
			4th offense	30 days suspension
			5th offense	Dismissal
VI.17	Willfully disobeying or disregarding without just and lawful excuse, a rule, order or instruction issued by the Company, causing hampering ***business operations***; stop shipment; customer complaint; office based insubordination	E	1st Offense	Dismissal
VI.18	Willfully disobeying or disregarding without just and lawful excuse, a rule, order or instruction issued by the Company, personally or in behalf through a person duly authorized by him resulting to loss or damage to company property.	C	1st Offense 2nd Offense 3rd Offense	15 days suspension 30 days suspension Dismissal
VI.19	Refusal to perform urgent overtime work when so required	B	1st offense	Written Warning
			2nd offense	7 days suspension
			3rd offense	15 days suspension
			4th offense	30 days suspension
			5th offense	Dismissal
VI.20	Refusal to follow instruction of the superior on performing work or job not related to the employee's usual assigned task when such employee or worker has no work to be done or the machine he is operating or working on is not functioning (in relation to multi-tasking or flexibility of work performance)	B	1st offense	Written Warning
			2nd offense	7 days suspension
			3rd offense	15 days suspension
			4th offense	30 days suspension
			5th offense	Dismissal
VI.21	Refusal to transfer to job which the employee is qualified to perform in him or another department	C	1st offense 2nd offense	15 days suspension 30 days suspension
			3rd offense	Dismissal
VI.22	Malicious mischief or engaging in disorderly conduct such as but not limited to horse playing, scuffling, shouting or throwing things, etc.)	C	1st offense 2nd offense	15 days suspension 30 days suspension
			3rd offense	Dismissal

Rule No. VII	Nature of Offense OFFENSES AGAINST ANTI-SEXUAL HARASSMENT LAW (R.A. 7877)	Category	No. of Offense	Disciplinary Action
VII.1	Rape or attempted rape	E	1st Offense	Dismissal
VII.2	Touching a co-employee in sensitive parts of his/her body, threats of a sexual nature and actual sexual assault.	E	1st Offense	Dismissal
VII.3	Requesting for dates or sexual favors in exchange for a job, favorable working conditions or assignments.	E	1st Offense	Dismissal
VII.4	Immoral conduct (such as but not limited to sexual act or exhibition) within company premises or company–related activities or business regardless of whether or not committed during working time	E	1st Offense	Dismissal
VII.5	Persistently sending notes or letters to co-employee(s) with malicious, obscene, lewd and lascivious intentions despite an advice from co-employee(s) that said notes or letters are not welcomed	D	1st Offense	30 days suspension
			2nd Offense	Dismissal
VII.6	Making obscene phone calls to a co-employee during and outside work hours	C	1st Offense	15 days suspension
			2nd Offense	30 days suspension
			3rd Offense	Dismissal
VII.7	Taunting a co-employee with constant talk of sex or sexual innuendos; Asking a co-employee intimate questions on his/her sexual activities	B	1st offense	Written Warning
			2nd offense	7 days suspension
			3rd offense	15 days suspension
			4th offense	30 days suspension
			5th offense	Dismissal
VII.8	Pinching, unnecessarily brushing up against a co-employee's body	B	1st offense	Written Warning
			2nd offense	7 days suspension
			3rd offense	15 days suspension
			4th offense	30 days suspension
			5th offense	Dismissal
VII.9	Persistently telling smutty jokes to a co-employee who has indicated she/he finds them offensive	A	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	7 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension

			6th offense	Dismissal
VII.10	Making offensive hand or body gestures at a co-employee; staring or leering at a co-employee	A	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	7 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension
			6th offense	Dismissal
Rule No. VIII	**Nature of Offense** OFFENSES AGAINST COMPREHENSIVE DRUGS ACT –RA 9165	**Category**	**No. of Offense**	**Disciplinary Action**
VIII.1	Possessing, using, or causing to be brought or used , narcotic drugs into company premises and on company- related business or activities except when such drugs take the form of medicine prescribed by a physician	E	1st Offense	Dismissal
VIII.2	Performing work under the influence of prohibited drugs causing harm to co-employee(s) and/or loss/damage to company property	E	1st Offense	Dismissal
VIII.3	Buying/trading/supplying/possession of prohibited drugs and/or its paraphernalia whether inside company premises or not	E	1st Offense	Dismissal
VIII.4	Pot sessions/Use/taking of prohibited drugs inside company premises	E	1st Offense	Dismissal
VIII.5	Conniving with suppliers/acting as runners/pushers of prohibited drugs	E	1st Offense	Dismissal
VIII.6	Tolerating co-employees doing the act inside company premises/Failure to report to HRAD or authorized personnel (Department Manager/Supervisor/Security Officer) immediately despite knowledge of this unscrupulous act.	D	1st Offense	30 days suspension
			2nd Offense	Dismissal
VIII.7	Positive drug test results from Drug Test on yearly basis.	D	1st Offense	30 days suspension (with counseling)
			2nd Offense	Dismissal
Rule No. IX	**Nature of Offense** **OFFENSES AGAINST CONFLICT OF INTEREST**	**Category**	**No. of Offense**	**Disciplinary Action**
IX.1	Providing illegitimate benefits to any party in the discharge of the job functions through patent partiality, bad faith, or gross negligence	E	1st Offense	Dismissal
IX.2	Favoring/Allowing relatives to transact business with the company/ies	D	1st Offense	30 days suspension
			2nd	Dismissal

			Offense	
IX.3	Requesting or receiving any commission/bribery in connecting with any transaction in which the employee participate for the Company/ies	D	1st Offense	30 days suspension
			2nd Offense	Dismissal
IX.4	Having financial interest in any enterprise similar to that of the Company/ies, or acting as its, dealer or agent without the Company/ies' knowledge	D	1st Offense	30 days suspension
			2nd Offense	Dismissal
IX.5	Knowingly entering into any transaction grossly disadvantageous to the Company/ies, i.e. entering into credit or accommodate transaction with its dealer(s)	D	1st Offense	30 days suspension
			2nd Offense	Dismissal
IX.6	Directly or indirectly requesting/receiving unauthorized benefits in the company transactions performed in the course of employment	D	1st Offense	30 days suspension
			2nd Offense	Dismissal
IX.7	Other similar acts infringing of the general rule on conflict of interests including but not limited to hiring of relatives resulting to superior-subordinate relationship	D	1st Offense	30 days suspension
			2nd Offense	Dismissal
IX.8	Unauthorized vending or *buying during office hours* and while within the company premises	A	1st offense	Verbal Warning
			2nd offense	Written Warning
			3rd offense	7 days suspension
			4th offense	15 days suspension
			5th offense	30 days suspension
			6th offense	Dismissal
Rule No. X	**Nature of Offense** **OTHER ANALOGOUS INFRACTIONS**	**Category**	**No. of Offense**	**Disciplinary Action**
IX.1	a. Inappropriate using of any Social Media platforms ----Publishing, posting or releasing information that is considered confidential. ----Posting material that is neither inappropriate, against, nor harmful to the Company's image, its employees or customers. ----Creating a social media accounts under the Company's name without approval from the authorized representative. ----Posting commentary, content or images that are defamatory, pornographic, proprietary, harassing, and libelous or that can create a hostile work environment.	B	1st offense	Written Warning
			2nd offense	7 days suspension
			3rd offense	15 days suspension
			4th offense	30 days suspension
			5th offense	Dismissal

This Code of Discipline shall be effective (15) days from the date of publish.

Definition of Terms:

The following words and phrases, as used in this Code, shall have the meaning indicated unless a different one is plainly devoted in the text:

AWOL - means "Absence Without Official Leave" or Absence without Notification.

COMMITTEE - refers to the Investigation Panel delegated to hear the case of errant employee(s) including the Committee on Decorum and Investigation for the offenders of the Anti-Sexual Harassment Act.

COMPANIES - refers to **SANDEN COLD CHAIN SYSTEM PHILIPPINES INC.**

COMPANY PREMISES -means the office premises or work site, whether owned or rented by **SANDEN COLD CHAIN SYSTEM PHILIPPINES, INC.**

COMPLAINANT - refers to the party filing the complaint.

DISCIPLINARY ACTION MEMO- means a memorandum addressed to the errant employee informing him/her of the infraction, violation or offense committed and the appropriate disciplinary penalty. According to the gravity of offense, violation or incident the Disciplinary Action Memo maybe prepared in a formal coupon bond size or white paper or both.

DOCUMENT - In this sense the term document applies to writings to work printed, lithographed or photographed; to maps or plans; to seals, plates or even stones on which inscription are cut or engaged. In the plural, the deeds, agreements, title-papers, receipts, and other written statements by which a right is established or an obligation is extinguished or by which a fact may be proven or affirmed.

EMPLOYEE - all persons, including regular, temporary and probationary employee under the employed and in the active payroll of **SANDEN COLD CHAIN SYSTEM PHILIPPINES, INC.**

MANAGERIAL EMPLOYEE- refers to one who is vested with powers or prerogatives to lay down and execute management policies and/or hire, transfer, suspend, lay-off, recall, discharge, assign or discipline employees.

SUPERVISORY EMPLOYEE - refers to one who, in the interest of the employer, effectively recommends such managerial actions if the exercise of such authority is not merely routinely or clerical in nature but requires the use of independent judgement.

RANK AND FILE - refers to one, who is tasked to perform the duties and responsibilities assigned by the immediate superior. Usually does routinary jobs and is not given much accountability.

IMMEDIATE SUPERVISOR – means the employee whom the employee directly reports to.

INEFFICIENCY -is failure to attain work goals or work quotas, either by failing to complete the same within an allotted reasonable period, or by producing an unsatisfactory result.

INVESTIGATION - shall mean gathering, searching, examining, and scrutinizing all possible facts, evidence, and proof to support the contention of the management's disciplinary action. Investigation shall also include the right of the guilty party to a fair and prompt hearing, the right to be heard and explain his side, present his facts, witnesses and evidences and the right to the due process of law.

NEGLECT OF DUTY – is omission to carry out of perform the duties, functions or assignments given to the employee. It is distinguished from insubordination in that there is no willfulness or defiance underlying the omission to act.

NEGLIGENCE - is conduct of the employee causing harm to the interest of the Company because it did not conform to the applicable standard of care. Such negligence may consist of positive acts or omissions of the employee in the course of work operations, which causes harm to the interest of the Company.

PORNOGRAPHIC LITERATURE - means any obscene or licentious film, drawing, cut out writing, picture and the like.

PROFANE LANGUAGE- means words, phrases or signs uttered or done with malice, irreverence, or contempt.

PROGRESSIVE DISCIPLINE- penalty imposed from reprimand, warning, suspension to dismissal from service.

REMUNERATION- means the salary, wage, bonus, commission, allowance or earnings, expressed in terms of money which is payable by the company to employees under a written contract of employment for work done or to be done or for services rendered or to be rendered.

SUSPENSION DAYS- refers to number of working days that the employee is suspended.

UNDERTIME- means leaving workplace or stopped work before the official knock-off time. Undertime, even if authorized, will be deducted based on the actual basic rate. Payroll deduction of unauthorized under time is based on actual hourly basic salary and is subject to disciplinary action.

UNEXCUSED ABSENCE- Absence with notification but without justifiable or valid cause. Including absences based on holidays despite earlier agreement to report for work.

WORK ENVIRONMENT- refers to the place or environment where work is being undertaken.

EMPLOYEE'S ACKNOWLEDGEMENT RECEIPT AND ACCEPTANCE

I hereby acknowledge receipt of the SANDEN COLD CHAIN SYSTEM PHILIPPINES INC. Employee Handbook. I understand that it is my continuing responsibility to read and know its contents. I also understand and agree that the Employee Handbook is not an employment contract for any specific period of employment or for continuing or long-term employment. Therefore, I acknowledge and understand that unless I have a written employment agreement with SANDEN COLD CHAIN SYSTEM PHILIPPINES INC., that provides otherwise, I have the right to resign from my employment with SANDEN COLD CHAIN SYSTEM PHILIPPINES INC., at any time with or without notice and with or without cause, and that SANDEN COLD CHAIN SYSTEM PHILIPPINES INC., has the right to terminate my employment at any time with or without notice and with or without cause.

I have read, understand and agree to all of the above. I agree to return the Employee Handbook upon termination of my employment.

Signature _____

Print Name _____

Date _____

CONFIDENTIALITY POLICY AND PLEDGE

Any information that an employee learns about SANDEN COLD CHAIN SYSTEM PHILIPPINES INC., or its members or officers, as a result of working for SANDEN COLD CHAIN SYSTEM PHILIPPINES INC. that is not otherwise publicly available constitutes confidential information. Employees may not disclose confidential information to anyone who is not employed by SANDEN COLD CHAIN SYSTEM PHILIPPINES INC., or to other persons employed by SANDEN COLD CHAIN SYSTEM PHILIPPINES INC., who do not need to know such information to assist in rendering services.

The disclosure, distribution, electronic transmission or copying of SANDEN COLD CHAIN SYSTEM PHILIPPINES INC.'s confidential information is prohibited. Any employee who discloses confidential SANDEN COLD CHAIN SYSTEM PHILIPPINES INC., information will be subject to disciplinary action (including possible separation), even if he or she does not actually benefit from the disclosure of such information.

I understand the above policy and pledge not to disclose confidential information. Signature:

_____

Print Name: _____

Date:_____

Please sign and return to Human Resource & Administration

Control No._____